CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. EBF1CDBDA
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN FULL

From: Drew Fossum <drew.fossum@enron.com>
Sent: Wed, 6 Dec 2000 01:27:00 -0800 (PST)
To: Susan Scott <susan.scott@enron.com>
Cc: Maria Pavlou <maria.pavlou@enron.com>, Mary Kay Miller <mary.miller@enron.com>, Glen Hass <glen.hass@enron.com>, Mary Darveaux <mary.darveaux@enron.com>, Lindy Donoho <lindy.donoho@enron.com>
Subject: Re: TW

I'm inclined to agree that its not worth responding to. They also argued that imbalances should not be dollar valued before netting and trading are available, but that strikes me as an industry wid e policy issue and not a TW specific issue. Any other thoughts? DF

Susan Scott
12/06/2000 09:20 AM
To: Drew Fossum/ET&S/Enron@ENRON
cc: Maria Pavlou/ET&S/Enron@ENRON, Mary Kay Miller/ET&S/Enron@ENRON, Glen Hass/ET&S/Enron@ENRON, Mary Darveaux/ET&S/Enron@ENRON, Lindy Donoho/ET&S/Enron@ENRON

Subject: Re: TW

We did not answer protests to our Order 637 filing.

The gist of PNM's protest in RP00-626 is that we shouldn't be able to charge a transport or fuel fee for our imbalance netting and trading service. I agree with PNM that our tariff language is vague in this regard. What exactly do we mean by "no additional cost...unless through the allocation process, quantities may be subject to transportation and fuel"?? Can someone help me with this?

Since we really did not want to make this compliance filing anyway, I would say we probably wouldn't mind if FERC rejected our tariff sheet outright. However, it's more likely that they will just instruct us to clarify our language. Or they could tell us to remove the "subject to transportation and fuel" provision. If we want to preserve our right to charge transport and fuel, it might be worthwhile filing something in the way of an answer. However, I am going to need some assistance in understanding what the language means and why we think we can do it, so I can justify it to FERC. Any comments you have in this regard would be appreicated.

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From: Drew Fossum 12/05/2000 05:18 PM

To: Maria Pavlou/ET&S/Enron@ENRON, Susan Scott/ET&S/Enron@ENRON
cc: Mary Kay Miller/ET&S/Enron@ENRON, Glen Hass/ET&S/Enron@ENRON, Mary Darveaux/ET&S/Enron@ENRON

Subject: TW

Should we respond to PNM's protest of the dollar valuation of imbalances prior to netting and trading? Did we already respond to this issue when they filed their protest of the 637 filing? DF

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